

Topics

The course consists of Part 1 and Part 2. Part 1 consists of lectures on the classical general equilibrium theory. Part 2 is the discussion of the papers beyond the classical general equilibrium theory.

Part 1

This part covers the basics of the pure exchange economy: Walrasian equilibrium, the first and the second welfare theorems, equilibrium existence, uniqueness, stability (with elements of the genericity analysis), comparative statics, the time and uncertainty interpretation, the core convergence, a simple financial model with incomplete markets (Mas-Colell et al., 1995, Chapters 15-19), markets with a continuum of agents (Aumann, 1964), and comparative advantage (Costinot, 2009).

Part 2

The relevant papers will be introduced as the course progresses.

- The Law of Large Numbers for a continuum of agents (Judd, 1985; Uhlig, 1996).
- Two-sided matching (Azevedo and Leshno, 2016).

References

- Aumann, Robert J., "Markets with a Continuum of Traders," *Econometrica*, 1964, 32 (1-2), 39–50.
- Azevedo, Eduardo M. and Jacob D. Leshno, "A Supply and Demand Framework for Two-Sided Matching Markets," *Journal of Political Economy*, 2016, 124 (5), 1235–1268.
- Costinot, Arnaud, "An Elementary Theory of Comparative Advantage," *Econometrica*, 2009, 77 (4), 1165–1192.
- Judd, Kenneth L., "The Law of Large Numbers with a Continuum of IID Random Variables," *Journal of Economic Theory*, 1985, 35, 19–25.
- Mas-Colell, Andreu, Michael D. Whinston, and Jerry R. Green, *Microeconomic Theory*, Oxford University Press, 1995.

Uhlig, Harald, "A Law of Large Numbers for Large Economies," *Journal of Economic Theory*, 1996, 8, 41–50.